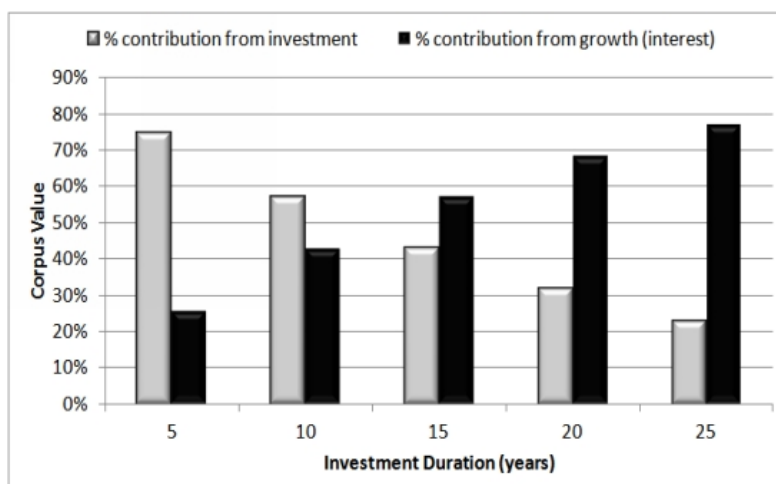
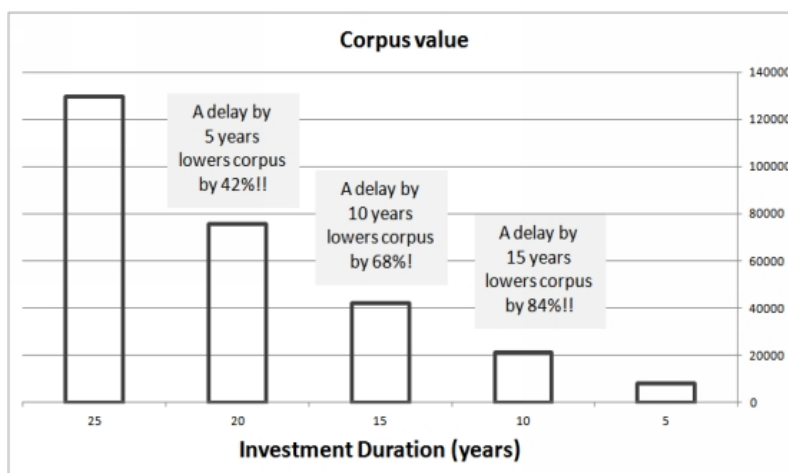




The two contributions for investment durations of 5,10,15,20 and 25 years are shown above. The ratio keeps getting ridiculous as time goes on. Quite simply, the longer we stay invested, the more we can benefit from the power of compounding.



Time plays a key role in determining the wealth one creates. If you start 5 years late and have an equivalent monthly investment for 20 years toward retirement, it results in a corpus 42% lower than a similar investment over 25 years. A delay of 10 and 15 years result in corpuses 68% and 84% lower than a 25-year investment.

A yearly investment of ₹ 1200 for 25 years at 10% annualized return results in a corpus of about 1.3 Lakh. If I start investing 5 years later and hope to achieve the same corpus after 20 years, then I must invest ₹ 2060 each year. In other words, my total investment over 20 years will be 37% *higher* than the total investment over 25 years if I wish to play catch up. If I do not start